UMEME
Powering Uganda

2022 Full Year Results Presentation

Overview

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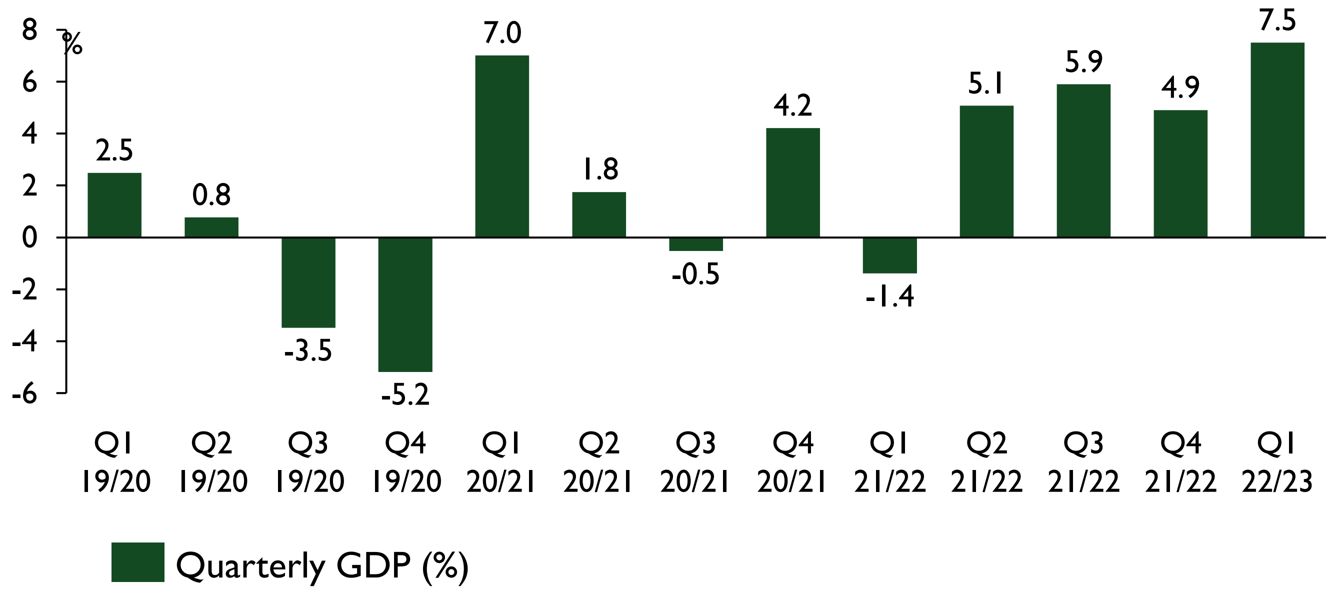
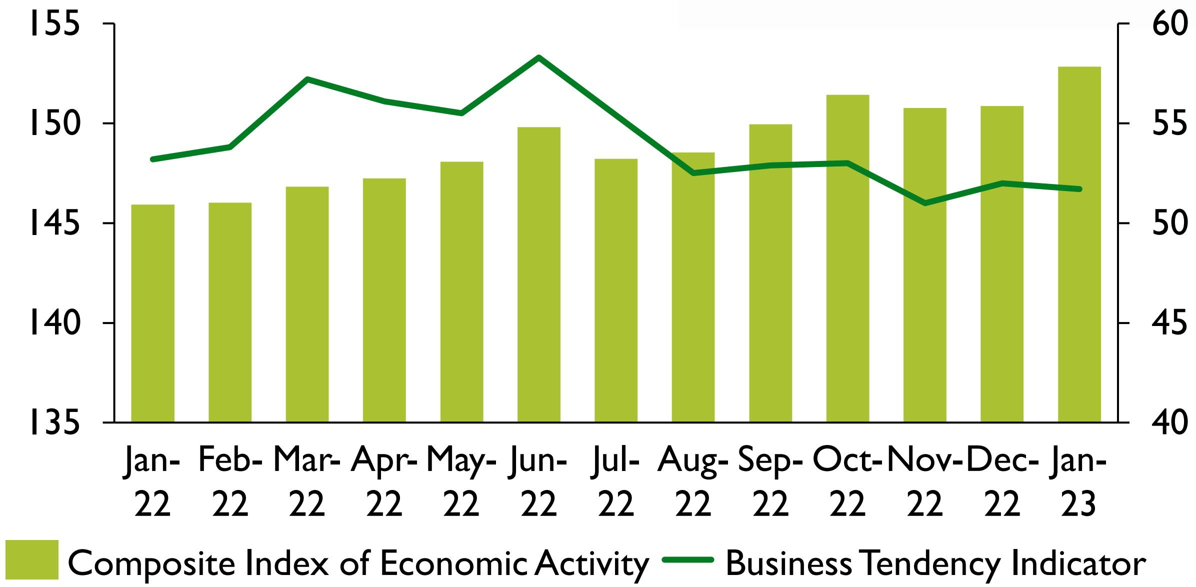
Uganda Economic Update

Robust Quarterly GDP Performance





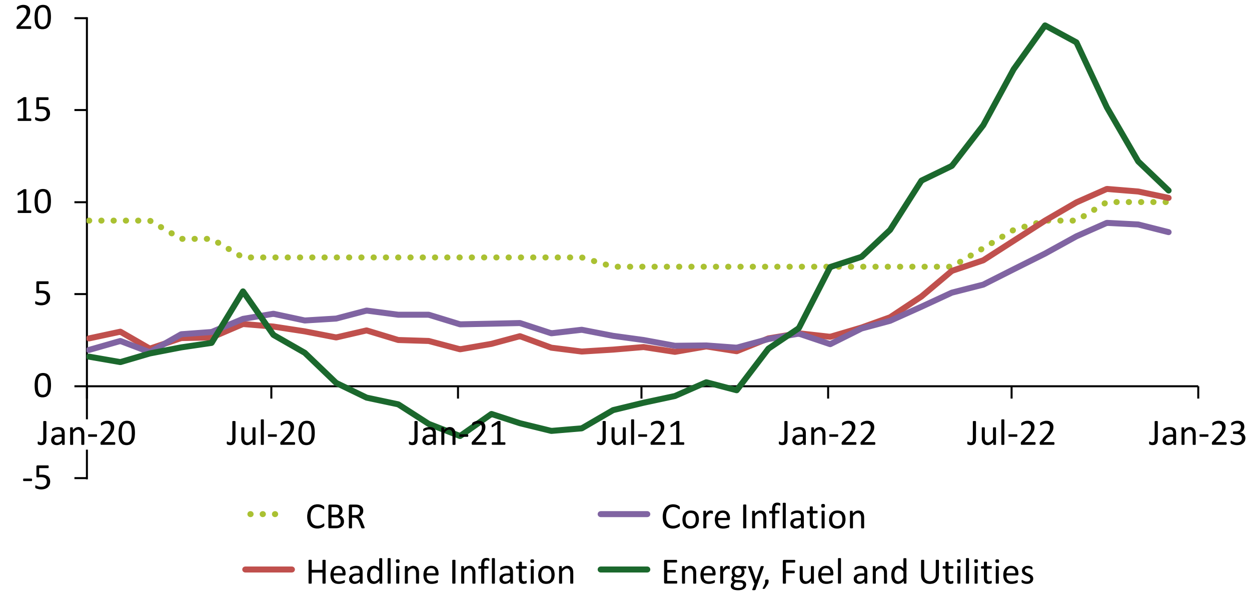
- Quarterly GDP in fiscal Q1 22/23 grew by 7.5% mainly due to a growth in the industrial sector with manufacturing activities growing by 16.9% compared to Q1 21/22
- GDP is expected to grow by around 5% in fiscal year 22/23 driven by the investments in the oil sector.

- Upward trajectory in the CIEA through the year
- CIEA in Q1 22/23 increased 5.2% against 2.7% in Q1 21/22

Source : Bank of Uganda, Uganda Bureau of Statistics

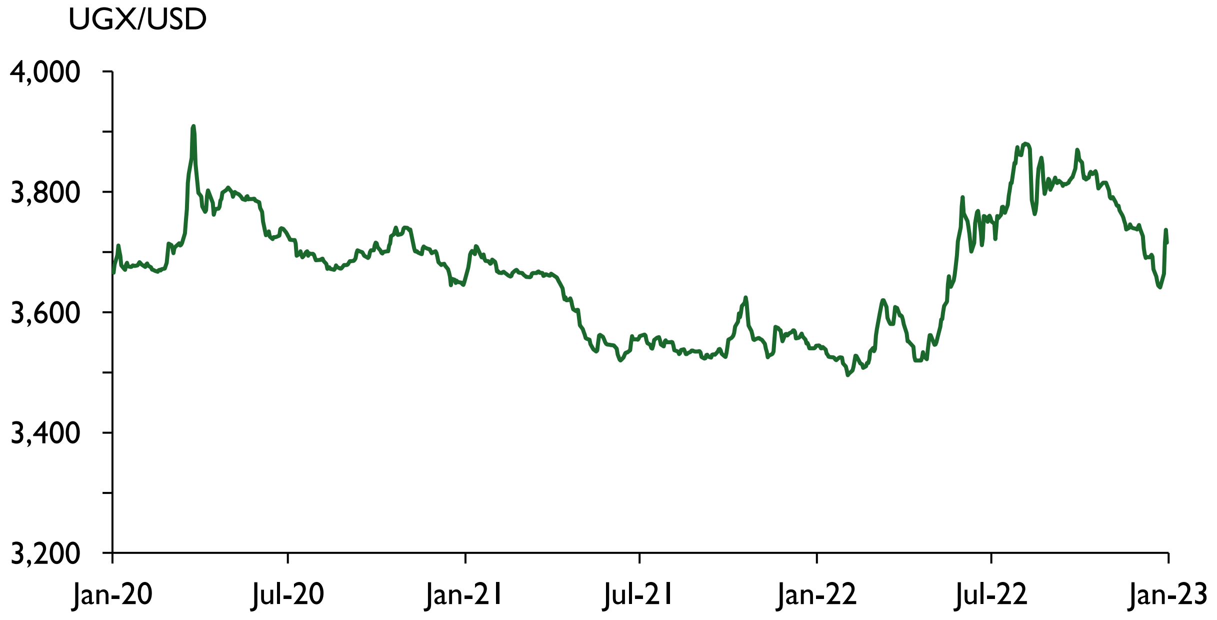
Uganda Economic Update

Interest Rates & Inflation



- Inflation pressures started to ease from November 2022 due to the dissipating impact of the earlier upsurge in global energy and non-energy prices and lower exchange rate depreciation.
- Central Bank raised benchmark rate steadily from 6.5% in May to 10% in October 2022 to contain inflation. CBR has remained flat at 10. %.

Currency Depreciation



- UGX strengthened in November 2022 supported by tight financial conditions, inflows from offshores, seasonal inflows from remittances, coffee receipts and NGOs.
- Currency performance influenced by rate tightening in advanced economies

Source : Bank of Uganda

Sector Update

Power sector reforms

Act signed on June 8th, 2022, and provides for;

- Strengthening of regulatory framework
- Structure of the industry to allow generator to customer and cease single –buyer model
- Increased penalties for power theft and vandalism
- Net metering

Karuma Dam evacuates first units to national grid

The $1.4b (shs5.3 trillion) 600MW Karuma Hydropower Dam successfully undertook its first landmark testing of evacuating electricity to the power grid.

Sector Update

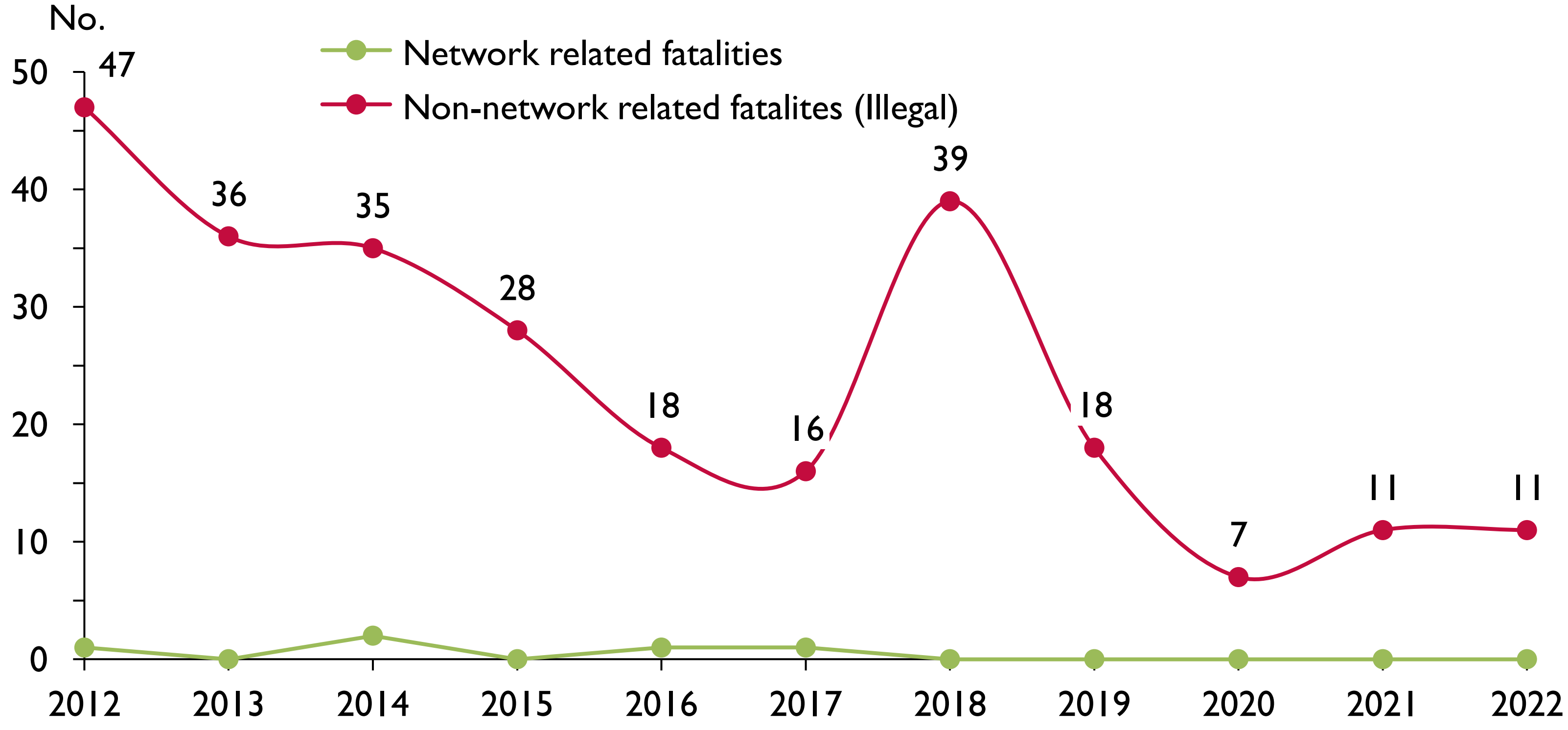
Concession Natural Termination

- Current Concession will continue to run until its natural end in March 2025 after which, there will be no renewal.
- Creation the Uganda National Electricity Company Limited to take over electricity generation, transmission and distribution underway.

Eskom Uganda Limited
@Eskomug

Happening Now in Jinja: @GovUganda is receiving back Nalubale power Dam from Eskom after a 20-year concession that ends today. @Eskom_SA @MEMD_Uganda @djoboth @songacomms @Eskom_MD

Safety Report



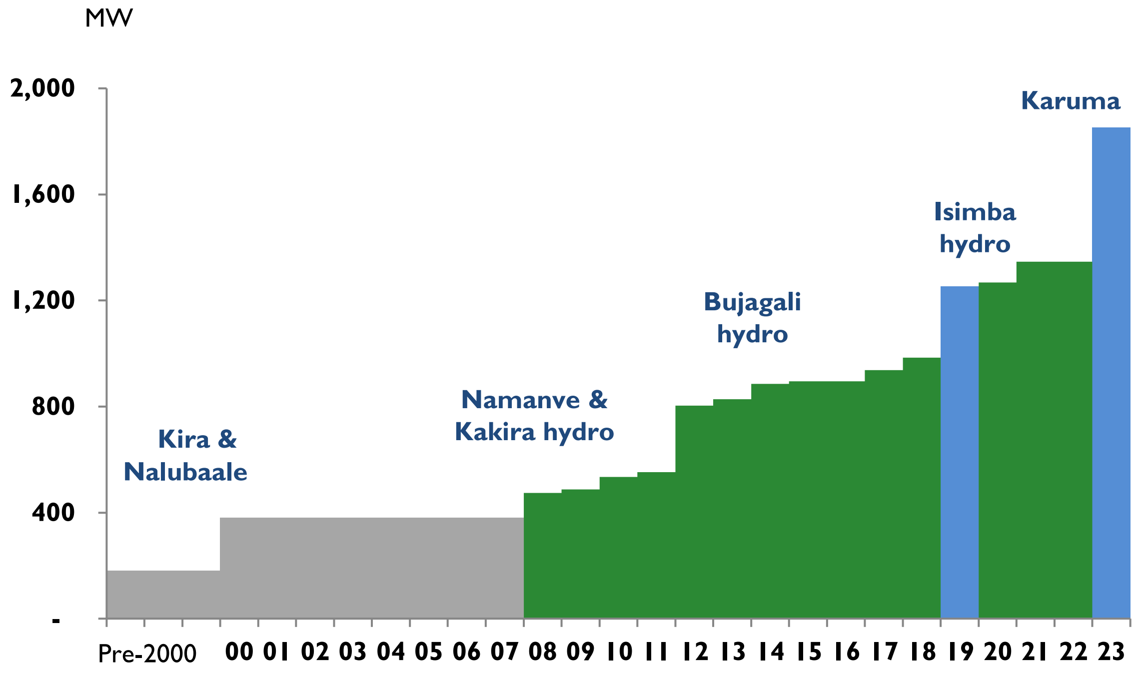
We recorded 11 non attributable fatalities related to network interference, power theft and unauthorized operations.

Your **Safety** is our priority

Stay Alert, Stay Safe, Save Lives

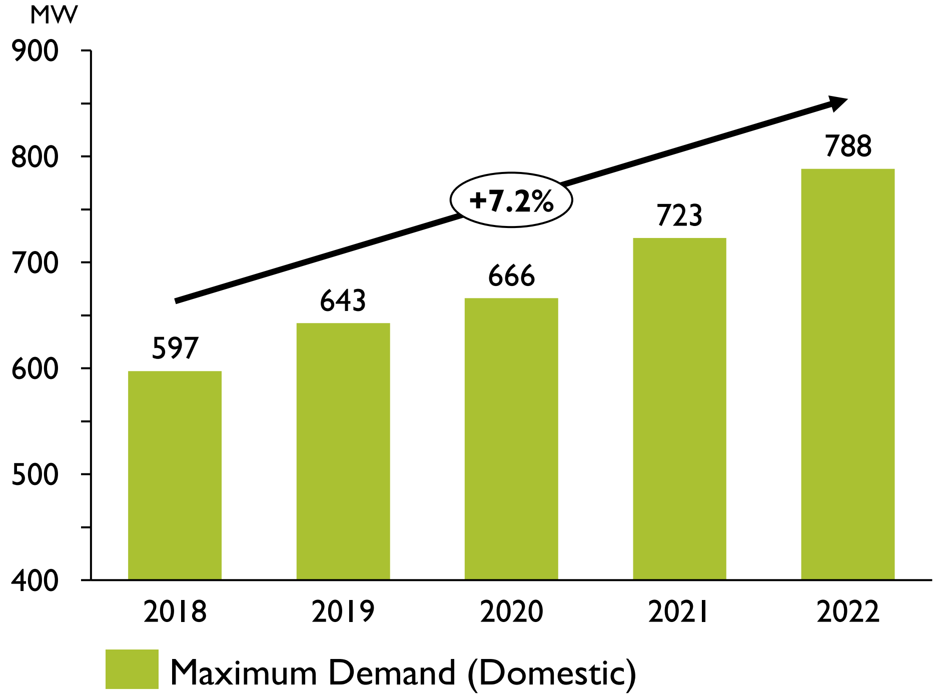
Electricity Supply-Demand Outlook

Installed Generation



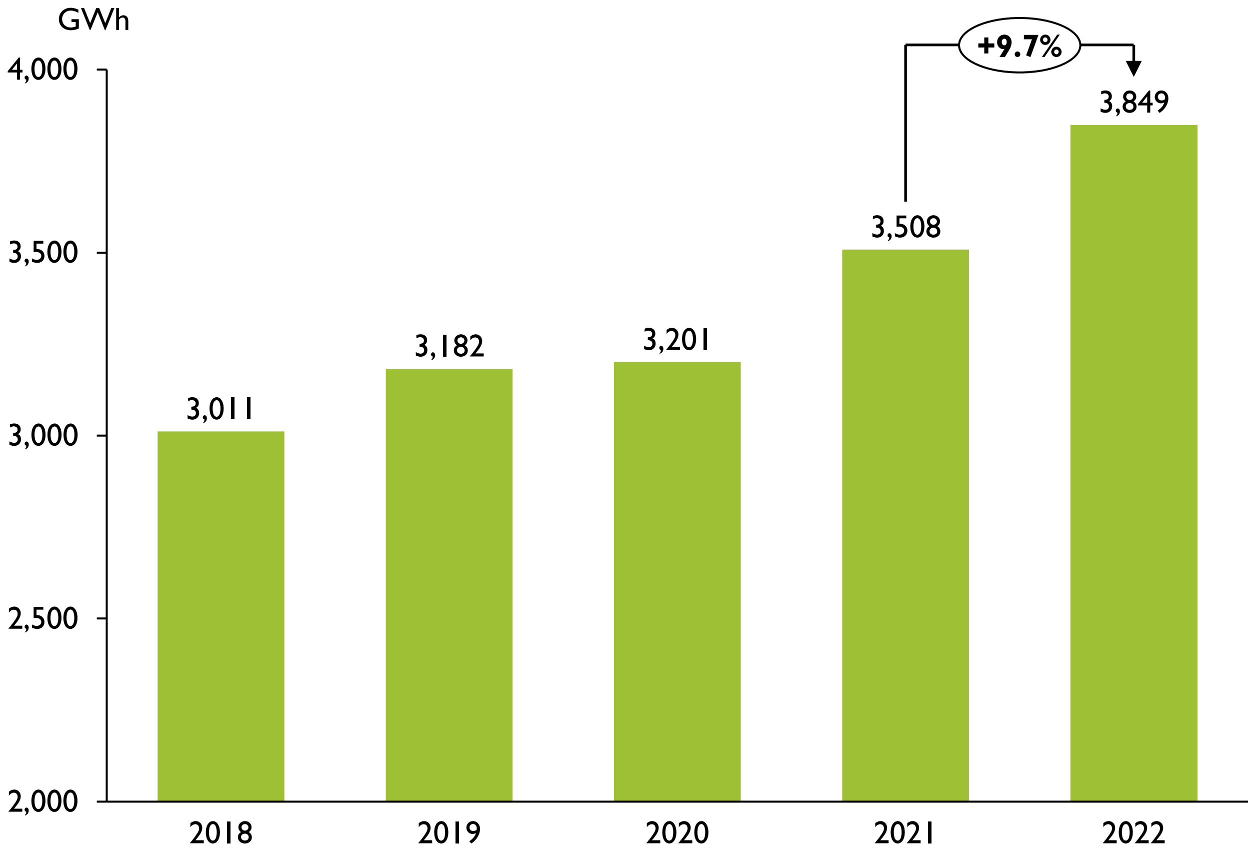
- Installed generation capacity at 1,346 MW vs 380 MW at the start of the Concession.
- Effective Generation 987 MW

Maximum Demand



- Maximum demand 5-year Compounded Annual Growth Rate at 7.2%.
- System Peak Demand ~ 843 MW

Energy Demand Resilient: +9.7%



- Double-digit consumption growth in domestic, commercial, medium – industrial and large-industrial customers

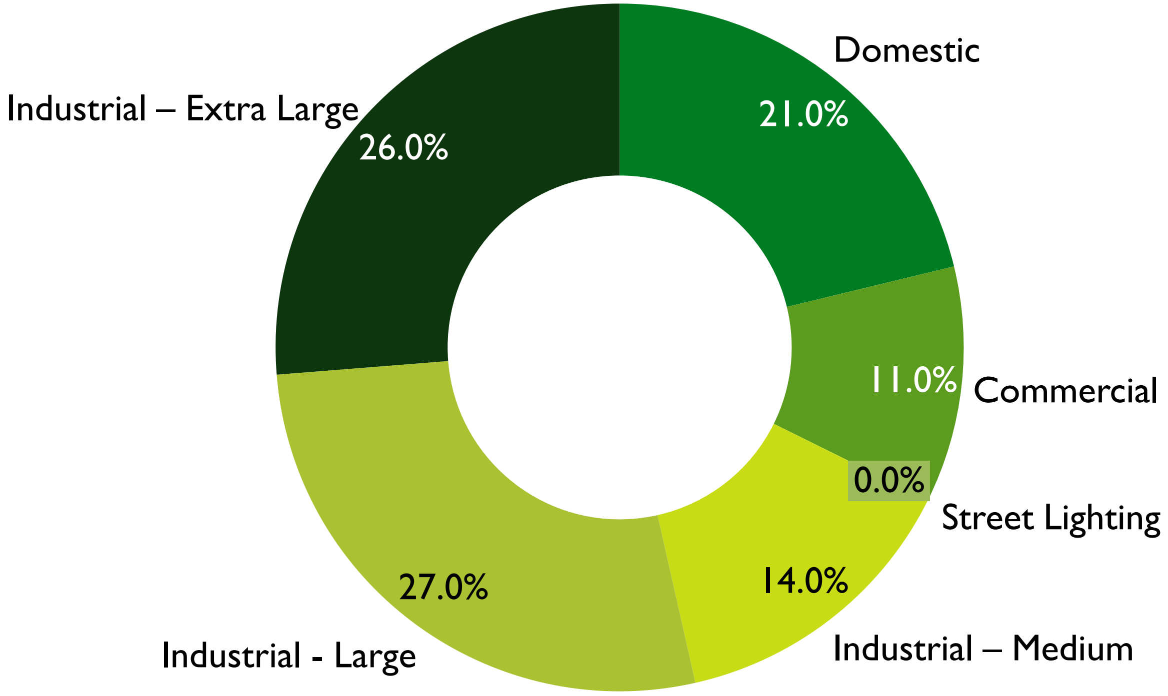
- Driven by reduction in Energy Not Served (ENS), Energy Loss reduction to 16.8%, consumption growth and new connections

Electricity Sales

Consumption per Customer Class

Customer Category	FY 2022 (GWh)	FY 2021 (GWh)	Growth %
Domestic	**825.5**	743.3	11.1%
Commercial	**422.2**	375.3	12.5%
Street Lighting	**2.2**	1.8	22.2%
Industrial – Medium	**540.8**	479.6	12.8%
Industrial - Large	**1048.2**	911.3	15.0%
Industrial – Extra Large	**1010.2**	996.1	1.4%
Total	**3,849.1**	**3,507.4**	**9.7%**

% Share of Electricity Sales



- Double digit growth across higher margin consumers
- Electricity sales driven by 121k new connections

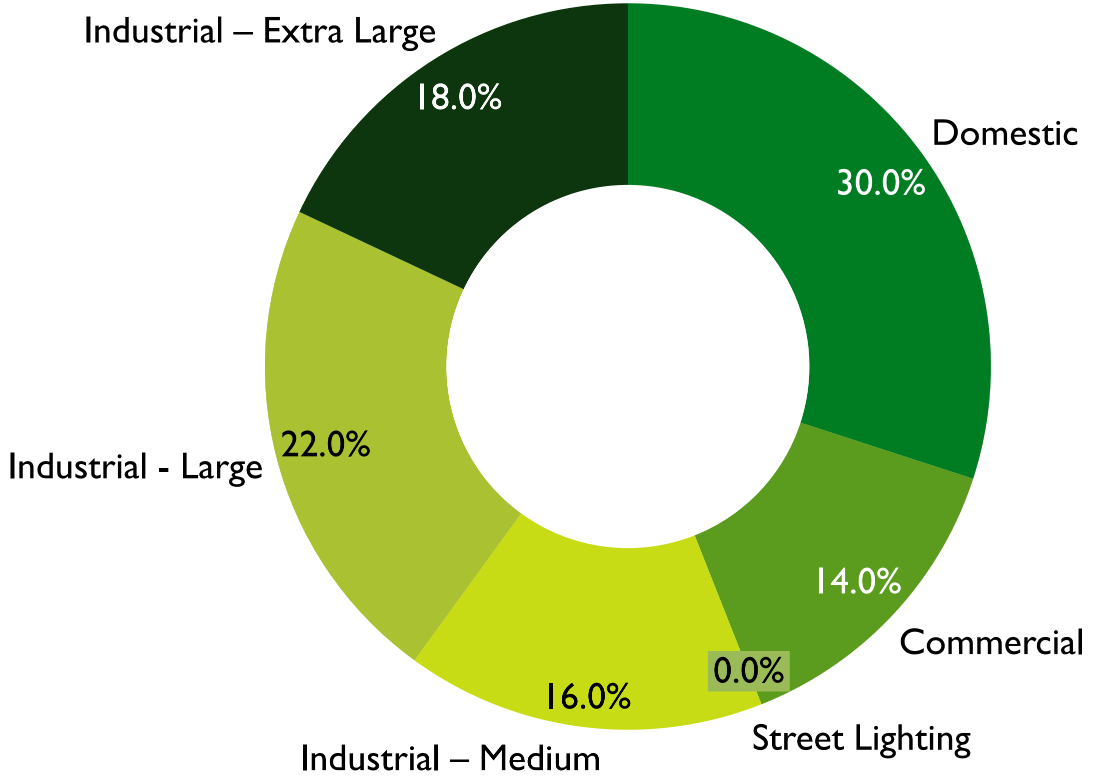
Revenue Composition

Revenue per Customer Class

Customer Category	FY 2022 (UShs Bn)	FY 2021 (UShs Bn)	Growth (%)	No.
Domestic	**551.3**	505.5	9.1%	1,663,391
Commercial	**254.9**	234.5	8.7%	89,926
Street Lighting	**0.8**	0.7	22.3%	3,244
Industrial – Medium	**286.6**	293.6	-2.4%	664
Industrial - Large	**410.1**	360.6	13.8%	303
Industrial – Extra Large	**324.9**	316.0	2.8%	52
Total	**1,829**	**1,711**	**6.9%**	**1,757,563**

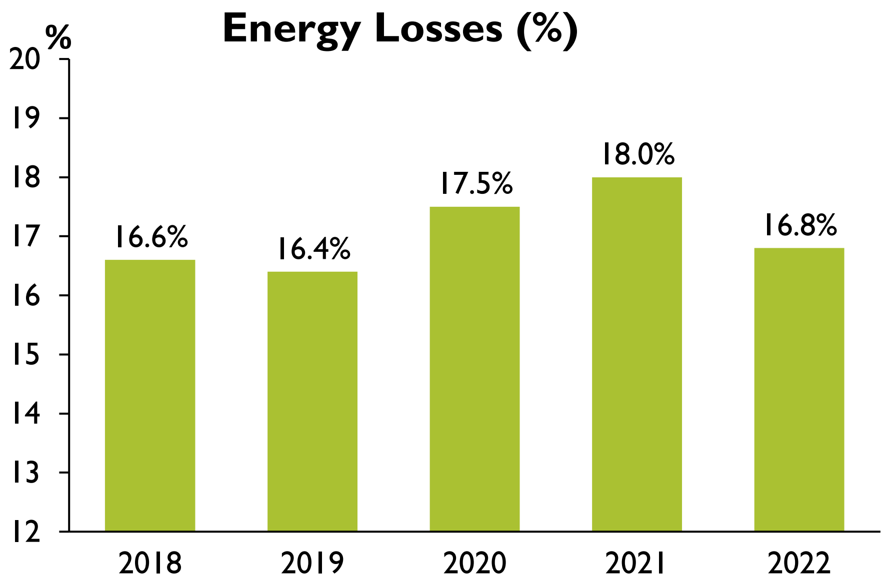
- Revenue from electricity sales increased by 7% on account of volume growth of 9.7% and average tariff reduction of 2.6%
- Medium industrial tariff reduced by average 13.4% thus reducing revenue for the category by 2.4%

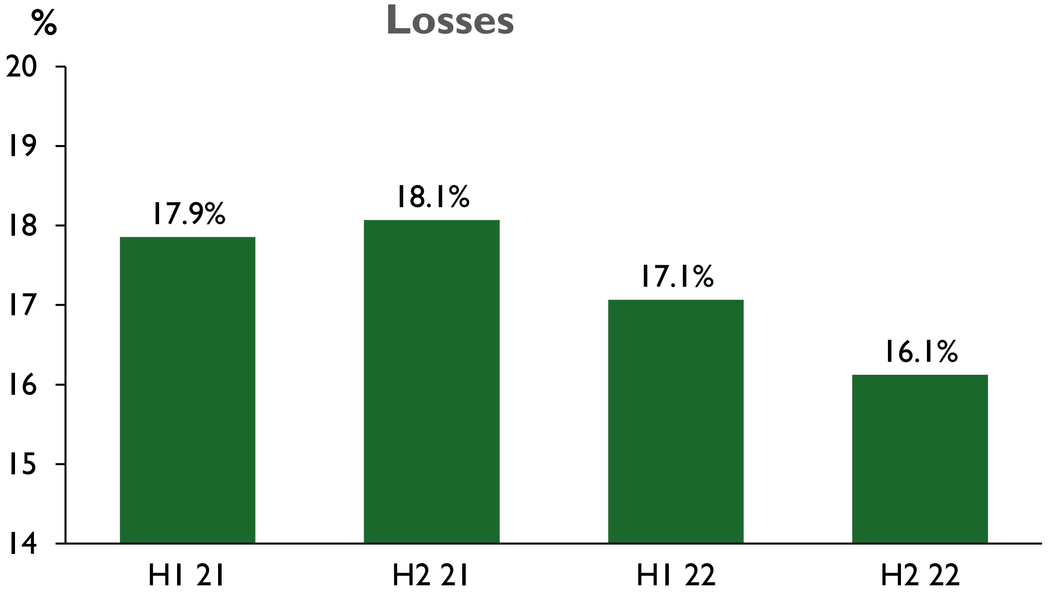
% Share of Revenue



Energy Losses

Improved Energy Loss Performance in 2022

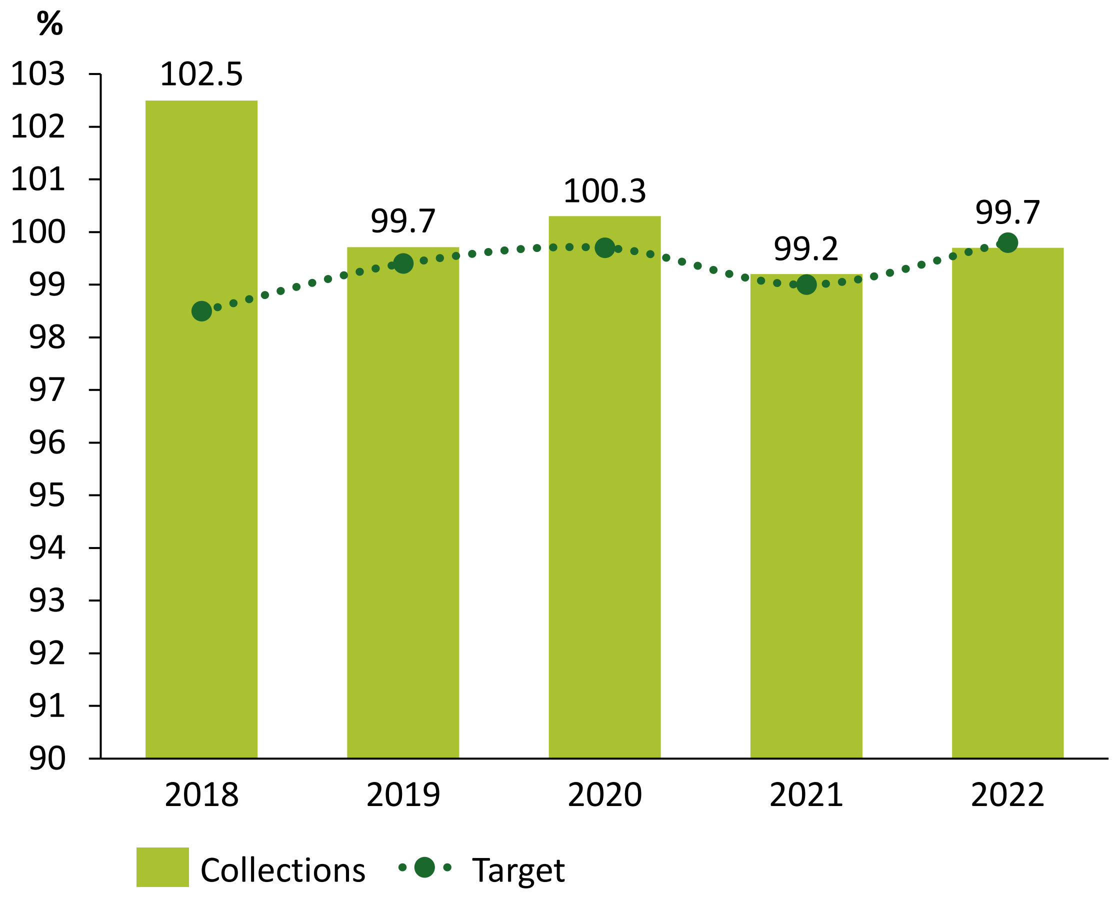




- Loss-reduction activities resumed following the re-opening of the economy.
- Piloted the use of CSR and Rolled out a CSR and community partnerships to address losses and safety records in low-income areas.

- Stronger performance in loss reduction in H2 2022
- Field activities improved significantly after adoption of more decentralized operating procedures that allowed for community participation

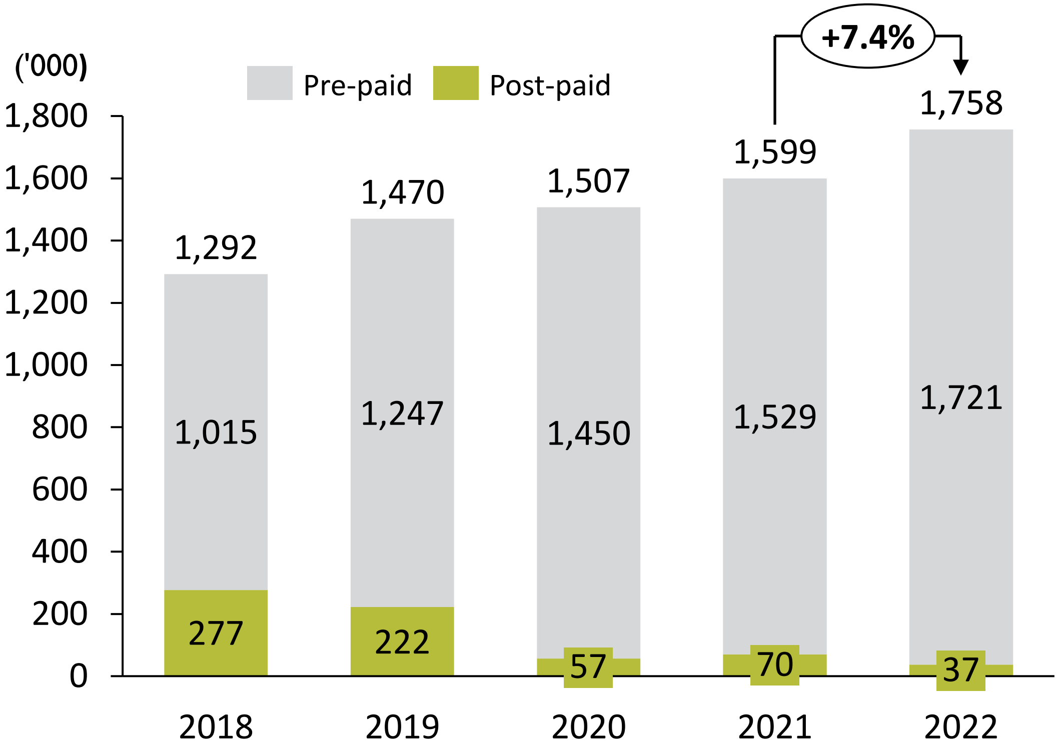
Cash Collections



- Revenue collection rate was 99.7%.
- Cash collections have remained high owing to investments in technology and payment infrastructure.
- Payment culture across all customers including government agencies

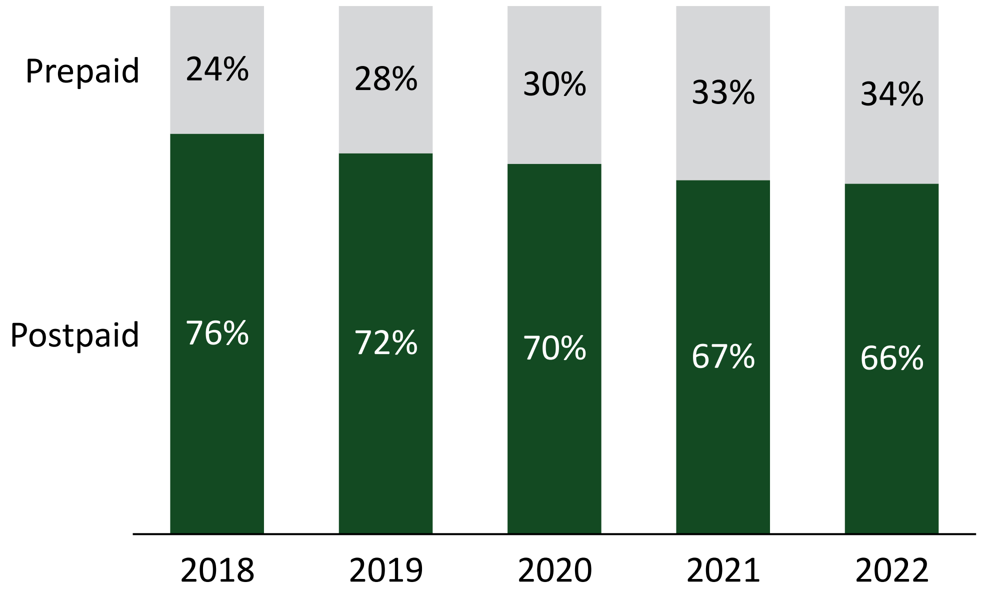
Customer Connections

Customer Numbers



- 121k new connections made in 2022
- Supported by customer funded connections and hybrid connections

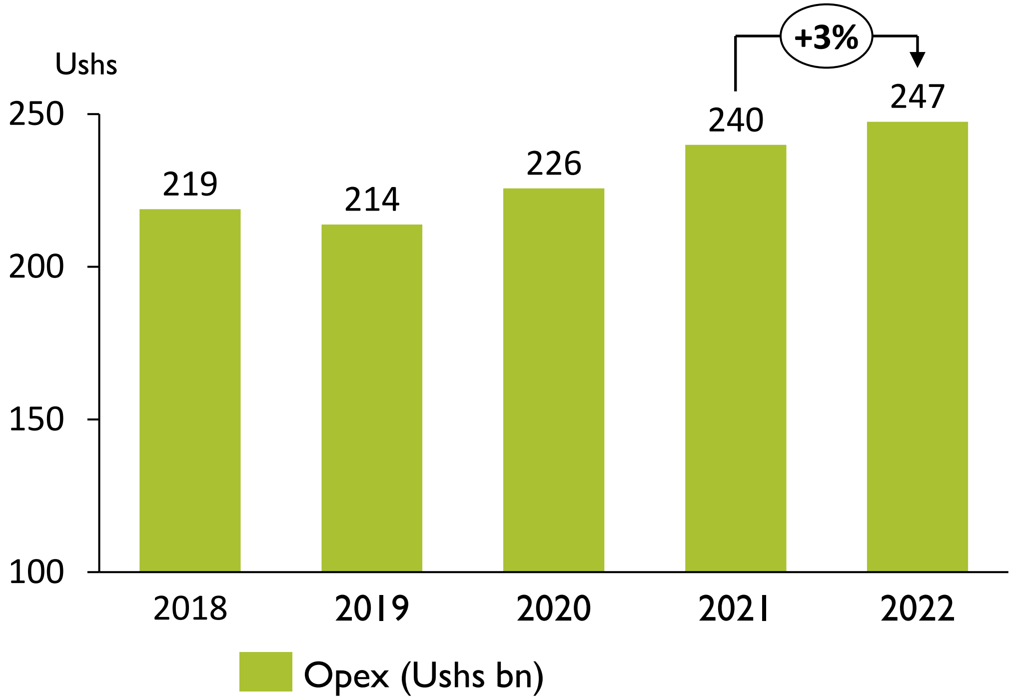
Prepaid vs Postpaid % of Total Revenue



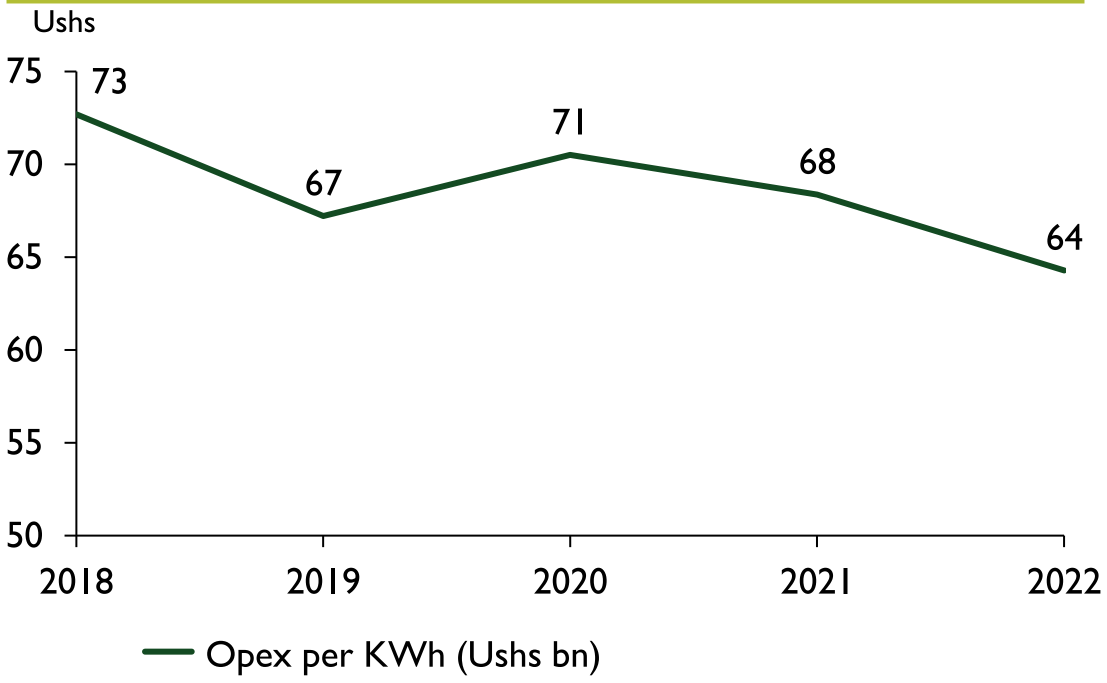
- 33.6% of revenues attributed to prepaid customers.

Drive to Cost-Efficiency

Operating Expenses



Opex per KWh



- Opex positively impacted by restructuring of our operating areas into zones and insourcing of network operations.
- DOMC performance within regulatory allowance ($63m)
- Inflation on cost of spares, materials, fuel prices and other administration and operating costs.

- Opex per KWh sold reduced by 7.6% while opex per customer reduced by 5.6%

Financial Overview ($m)

Income Statement	FY 2022	FY 2021	%ch
Revenue	511.0	524.6	-2.6%
Cost of Sales	(339.5)	(345.9)	-1.9%
Gross Profit	**171.5**	**178.7**	**-4.0%**
Operating Expenses	(67.0)	(66.8)	0.3%
EBITDA	104.4	112.0	-6.8%
Finance Costs (ex. lease)	(12.3)	(10.9)	12.8%
PBT	61.4	52.4	17.2%
Profit After Tax	**43.4**	**37.2**	**16.7%**

Financial Position at	FY 2022	FY 2021	%ch
Total Assets	691.4	706.4	-2.1%
Shareholders Equity	271.6	251.6	7.9%
Net Debt	**69.5**	**107.5**	**-35.3%**
Operating cashflow	95.1	87.9	8.2%

- Revenue affected by pricing in tariff for large customers.
- Umeme Gross Margin reduced to 33% vs 34 % in 2022.
- Profit after tax increased by 16.7% to $43.4m
- Net debt reduced 35.3% from FY2021 close

Financial Overview (UShs bn)

Income Statement	FY 2022	FY 2021	%ch
Revenue	1887.3	1885.0	0.1%
Cost of Sales	(1254.6)	(1242.8)	0.9%
Gross Profit	**632.7**	**642.2**	**-1.5%**
Operating Expenses	(247.5)	(239.9)	3.2%
EBITDA	384.8	402.3	-4.3%
Finance Costs (ex. lease)	(45.4)	(39.0)	16.4%
PBT	214.9	194.0	10.8%
Profit After Tax	**148.2**	**139.1**	**6.5%**
Financial Position at	**FY 2022**	**FY 2021**	
Total Assets	2,571.1	2,507.3	2.5%
Shareholders Equity	1010.0	893.2	13.1%
Net Debt	**258.4**	**381.5**	**-32.3%**
Operating cashflow	350.0	315.0	11.1%

- Revenue marginally increased to UShs 1,887 billion in2022 from UShs 1,885 billion in 2021. Revenue was affected by change in pricing in tariff for large customers.
- Umeme Gross Margin decreased to 33.5% vs 34.1% in 2021.
- Profit after tax increased 6.5% to UShs 148.2 billion
- Net debt reduced 32.3% from FY2021 close

Guidance

Umeme
Powering Uganda

Leverage

Long-term debt to be fully repaid at 31st Dec 2023.

Capital Expenditure

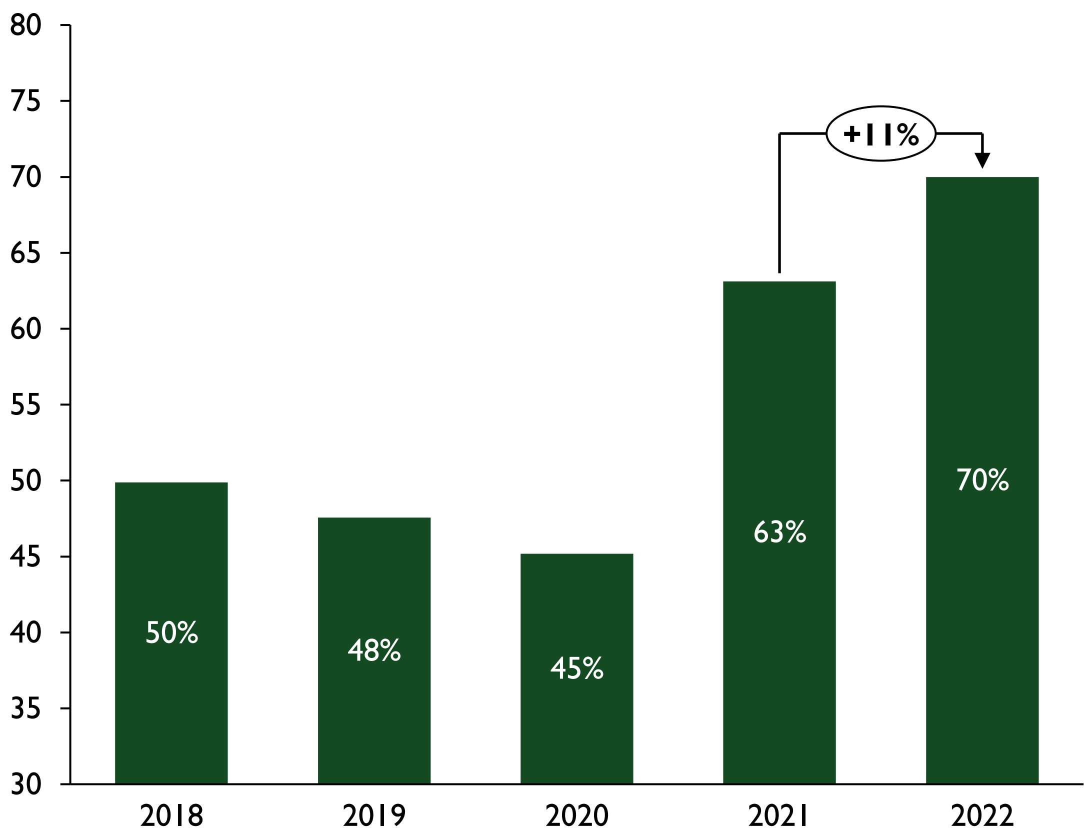
Capex focused on growth and reliability.

Shareholder Returns

- Distribution of free cash flow
- Secure Buyout amount

Value to Shareholders

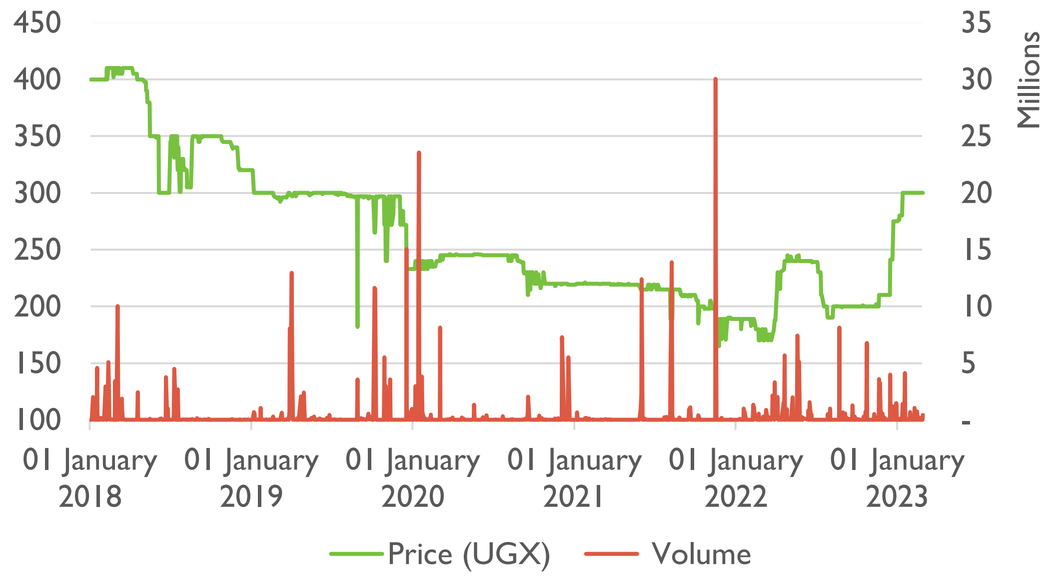
Dividend payout ratio



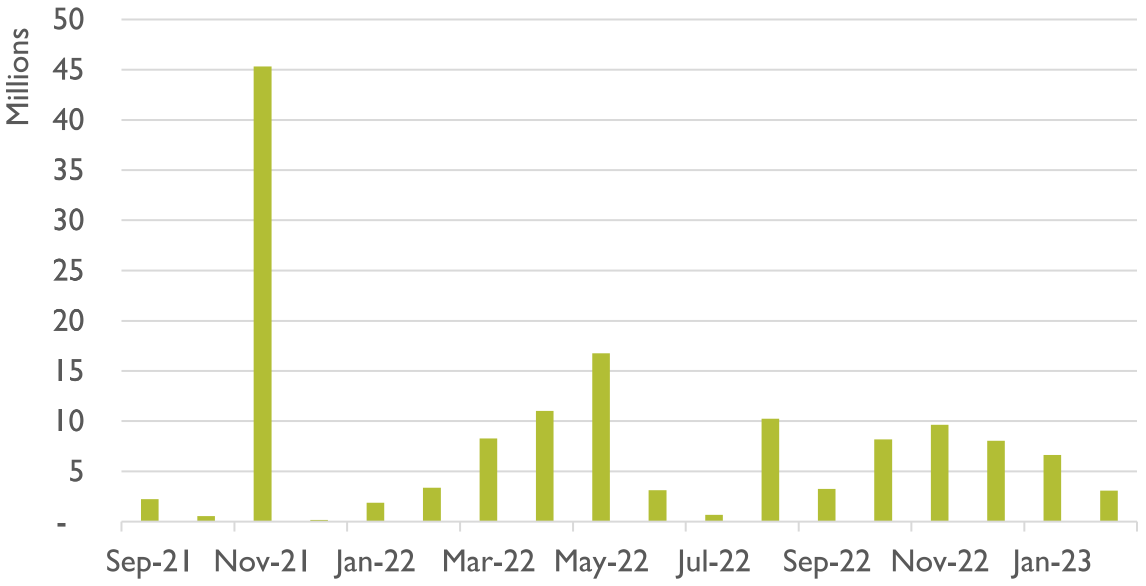
- Cumulative payout of Ush 343 per share in dividends since IPO vs the IPO price of Ush 275

Trading Update

Trading Performance (USE)



Total Monthly Volumes Traded



Shareholding Mix (February 2023)	%Held
Local Institutional & Retail	35.8%
East Africa Institutional & Retail	6.3%
Foreign Investors	56.8%
Directors & Employees	1.1%

	Multiple
EV/EBITDA	1.9x
Price /Buy-Out less Net Debt	0.4x
Price to Earnings	3.3x

2023 Focus Areas

Service

- Focus on excellent service delivery
- Automation (GNIS and UCIS projects)

Connections

- Connect 200k plus customers

Regulatory Targets

- Losses
- Collections
- Cost efficiency

People & Institutional Capacity

- Consolidate zoning strategy.
- Staff retention

Investor Relations Calendar

18th May 2023: Annual General Meeting

August 2023: Interim H1 2023 results release

Q2, Q3 2023: Investor Conferences

Question & Answer